CORPORATE REPORTING

Suggested Answers
May 2026

Answer to the Question# 1:

Daisy Limited
Consolidated Statement of Financial Position
As at 31 March 2026

	Daisy	Tulip	Adjustment	Consolidated	Note
Assets					
Non-current assets					
Property, plant and equipment	6,530,446,751	307,662,059	(400,000)	6,837,708,810	W-2(e)
Investments	1,772,951,882	5,120,464	(385,710,000)	1,392,362,346	W-6, W-8
Right-of-use assets	228,715,055	-	-	228,715,055	
Capital Work in progress	19,870,477	643,807	-	20,514,284	
Intangible assets	3,545,556	41,953,917	-	45,499,473	
Goodwill	-	-	132,295,606	132,295,606	W-9
	8,555,529,721	**355,380,247**	**(253,814,394)**	**8,657,095,574**	
Current assets					
Inventories	3,243,594,681	144,298,921	(10,875,000)	3,377,018,602	W-2(c)
Trade receivables	1,579,347,291	52,129,761	(2,000,000)	1,629,477,052	W-2(e)
Other receivables	237,390,191	77,010	-	237,467,201	
Inter-company receivables	43,355,044	798,866,040	(842,221,084)	-	W-2(a)
Advances, deposits & prepayments	955,613,842	22,193,815	-	977,807,657	
Cash and cash equivalents	523,655,688	14,629,897	-	538,285,585	
	6,582,956,737	**1,032,195,444**	**(855,096,084)**	**6,760,056,097**	
Total assets	**15,138,486,458**	**1,387,575,691**	**(1,108,910,478)**	**15,417,151,671**	
Equity & Liabilities					
Equity					
Share capital	454,000,000	13,600,000	(13,600,000)	454,000,000	
Reserves	2,029,920,148	132,400,650	(122,102,190)	2,040,218,608	W-11
Retained earnings	3,323,767,682	381,890,567	(232,390,447)	3,473,267,802	W-12
Non-controlling interest	-	-	103,403,243	103,403,243	W-10
	5,807,687,830	**527,891,217**	**(264,689,394)**	**6,070,889,653**	
Non-current liabilities					
Long-term bank loans	2,248,580,433	378,243,942	-	2,626,824,375	
Employee benefits	599,174,146	8,683,947	-	607,858,093	
Lease liabilities	165,022,792	-	-	165,022,792	
Deferred tax liabilities	76,513,966	34,792,741	-	111,306,707	
	3,089,291,337	**421,720,630**	**-**	**3,511,011,967**	
Current liabilities					
Bank overdraft	1,217,600,734	25,716,309	-	1,243,317,043	
Loans and borrowings	741,634,480	64,528,069	-	806,162,549	
Lease liabilities-current portion	67,655,863	-	-	67,655,863	
Trade payables	1,063,089,852	184,987,686	602,179,882	1,850,257,420	W-2(b),(e)
Other payables	1,748,480,440	119,376,736	-	1,867,857,176	
Inter-company payables	1,403,045,922	43,355,044	(1,446,400,966)	-	W-2(a)
	6,241,507,291	**437,963,844**	**(844,221,084)**	**5,835,250,051**	
Total liabilities	**9,330,798,628**	**859,684,474**	**(844,221,084)**	**9,346,262,018**	
Total equity and liabilities	**15,138,486,458**	**1,387,575,691**	**(1,108,910,478)**	**15,417,151,671**	

Daisy Limited
Consolidated Statement of Profit or Loss and Other Comprehensive Income
For the year ended 31 March 2026

	Daisy	Lily	Tulip	Adjustments	Consolidated	Note
Revenue	15,691,732,595	1,061,621,337	2,400,058,359	(2,300,000,000)	16,853,412,291	W-2(c)
Cost of sales	(9,813,029,954)	(862,281,224)	(2,266,864,780)	2,300,000,000	(10,642,175,958)	W-2(c)
Less: PURP	-	-	(10,875,000)	-	(10,875,000)	W-2(c)
Gross profit	**5,878,702,641**	**199,340,113**	**122,318,579**	**-**	**6,200,361,333**	
Administrative and selling expenses	(4,119,510,475)	(107,232,621)	(98,512,957)	-	(4,325,256,053)	
Gain on Spin-off of Lily	306,273,475	-	-	-	306,273,475	W-7
Gain on previously held equity	204,770,000	-	-	-	204,770,000	W-8
Other income	477,733,129	3,863,560	1,276,954	(50,000)	482,823,643	W-2(e)
Less: PURP on Machine sold to Tulip	(400,000)	-	-	-	(400,000)	W-2(e)
Operating profit	**2,747,568,770**	**95,971,052**	**25,082,576**	**(50,000)**	**2,868,572,398**	
Net finance costs	(380,794,780)	50,590,534	23,334,081	50,000	(306,820,165)	W-2(e)
Profit before contribution to WPPF	**2,366,773,990**	**146,561,586**	**48,416,657**	**-**	**2,561,752,233**	
Contribution to WPPF	(92,806,526)	(7,328,079)	(2,964,583)	-	(103,099,188)	
Profit before tax	**2,273,967,464**	**139,233,507**	**45,452,074**	**-**	**2,458,653,045**	
Income tax expense	(403,854,982)	(38,242,284)	(24,662,975)	-	(466,760,241)	
Profit after tax	**1,870,112,482**	**100,991,223**	**20,789,099**	**-**	**1,991,892,804**	
Other comprehensive Income (net of tax)	371,567,955	16,082,272	58,912,650	-	446,562,877	
Total Comprehensive Income	**2,241,680,437**	**117,073,495**	**79,701,749**	**-**	**2,438,455,681**	

Allocation of Profit:

20% Profit Attributed to NCI of Tulip	15,940,350
Profit Attributed to Daisy	2,422,515,331
	2,438,455,681

Workings 1: Group Structure

- Daisy owned 100% of the shares of Lily Ltd. However, Lily was scheduled to be spun off on 31 March 2026. As a result, by 31 December, Lily was classified as a disposal group held for distribution to owners and would no longer be treated as a subsidiary of Daisy. The spin-off involved Lily becoming an independent company through the issuance of its shares to Daisy's existing shareholders on a pro-rata basis. Throughout the financial year, Lily operated as a subsidiary of Daisy. Accordingly, Lily's results are included in the consolidated Statement of Comprehensive Income for the year. However, the Statement of Financial Position as at 31 December is not consolidated for Lily, as it is no longer part of the Daisy group at that reporting date.
- Daisy initially owned 45% shares of Tulip and during the year it acquired additional 35% shares. Therefore, Daisy now owns 45%+35% = 80% shares of Tulip. Before acquiring 35% shares on 01 June 2025, Tulip was an associate of Daisy. But after acquisition of additional 35% shares, it became a subsidiary of Daisy. Therefore, 9 months operation will be subject to consolidation and at the year end 30% non-controlling interest (NCI) will be present.

Workings 2: removal of intra-group transactions and balances

2(a) Intergroup Receivables and Payables:

By the year end, Lily is no longer intercompany. Hence, receivables and payables to Lily will not be adjusted as intra-group adjustments. However, any revenue transaction with Lily will be adjusted. Balances with Lily will be moved to trade receivables/payables.

At the year end, Daisy and Tulip had following intercompany balances which should been omitted during consolidation.

	Daisy (A/R)	Tulip (A/R)
Daisy (A/P)	-	798,866,040
Tulip (A/P)	43,355,044	-
Total	**44,512,163**	**798,866,040**

Following entry should be passed:

Intercompany Payable- Tulip	Dr.	43,355,044	
Intercompany Receivables – Daisy	Cr.		43,355,044
Intercompany Payables – Daisy	Cr.	798,866,040	
Intercompany Receivables- Tulip	Dr.		798,866,040

2(b) Transfer of Intergroup Payables to Trade Payables:

As Lily will not be an intercompany at the year end, payables to Lily will no longer be reported under Intercompany Payables. Rather it should be transferred to Trade Payables.

Following entry should be passed:

Intercompany Payable- Lily	Dr.	604,179,882	
Trade Payable – Lily	Cr.		604,179,882

2(c) Inter-group Sales:

During the year Daisy purchase inventory of BDT 850,000,000 and BDT 1,450,000,000 from Lily and Tulip respectively. These intercompany transactions of Daisy with Lily and Tulip should be omitted.

Therefore, following entry will be requires:

Revenue – Lily	Cr.	850,000,000	
Revenue – Tulip	Cr.	1,450,000,000	
Cost of Revenue - Daisy	Dr.		2,300,000,000

At the end of the year 15% of these inventories remained unsold at Daisy's warehouse. Lily and Tulip earned 15% and 5% margin respectively from these transactions. As Lily is no longer an intercompany at the year end, there will not be any adjustments for unsold inventories and adjustment for unrealized profit. It would be considered that Daisy purchased these unsold inventories from a third party.

However, as Tulip is an intercompany, profit realized by Tulip on unsold inventories should be reversed. At the year end unsold inventories purchased from Tulip was (1,450,000,000 x 15%) = 217,500,000. Tulip recognized 5% margin on these sales. Therefore, unrealize profit at the year-end is = 217,500,000 x 5% = 10,875,000. This unrealized profit (PURP) should be removed from seller's book (i.e. Tulip's book) during consolidation (by increasing cost of revenue) and Year end inventory value should be reduced by same amount. Following entry will be required:

Cost of Sales - Tulip	Dr.	10,875,000	
Inventory - Daisy	Cr.		10,875,000

2(d) Management Expenses:

During the year Daily performed management function for Lily and Tulip. Daisy raised reimbursement invoice to them. Lily has already paid whereas invoice to Tulip remains unpaid. Tulip's payable to Daisy has already been adjusted in 2(a). Now as for management expenses, it should be omitted. But as Daisy raised reimbursement invoices, it has already been adjusted as daisy reduced its expense by creating a receivable through reimbursement invoices. No further adjustment is required.

2(e) Transfer of Machine:

Tulip sold a Machine to Tulip for BDT 2,000,000 which it originally purchased at the same amount one year before. Although machine was ready for use, Daisy did not start using the machine due to changes in business plan. At the time of purchase, it had useful life of 5 years. At the time of transfer, book value of the machine was (2,000,000 x 4/5) = 1,600,000. Daisy Sold this Machine to Tulip for BDT 2,000,000 and made a profit of BDT 400,000.

Tulip acquired the Machine at 2,000,000 and charged depreciation of (2,000,000 x 3 month/60 months) = 100,000. Whereas actual depreciation for the group is also 100,000 as cost value and useful life is both 5 years. However, written down value at Tulip's book is 1,900,000 but to the group is 1,500,000.

To remove this difference, following entry will be required during the consolidation process.

Other Income – Daisy	Dr.	400,000	
PPE - Tulip	Cr.		400,000

It is to be noted that Tulip purchased this machine on credit, and no payment has been made by the year end. Therefore, it has recognized interest expense of BDT 2,000,000 x 10% x (3/12) = 50,000. This interest expense and related payable also need to be omitted during consolidation process. Tulip recognized the payable amount has been recorded in Trade Payable whereas Daisy recognized in Trade Receivables.

To omit these intergroup transactions, following entries will be required.

Other Income – Daisy	Dr.	50,000	
Finance Cost- Tulip	Cr.		50,000
Trade Payables	Dr.	2,000,000	
Trade Receivables	Cr.		2,000,000

Workings 5: Consolidation Schedule of P&L

	Daisy	Lily	Tulip
Revenue	15,691,732,595	1,061,621,337	2,400,058,359
Cost of sales	(9,813,029,954)	(862,281,224)	(2,266,864,780)
Less: PURP	-	-	(10,875,000)
Administrative and selling expenses	(4,119,510,475)	(107,232,621)	(98,512,957)
Gain on Spin-off of Lily	306,273,475	-	-
Gain on re-measurement of previously held equity	204,770,000	-	-
Other income	477,733,129	3,863,560	1,276,954
Less: PURP on Machine sold to Tulip	(400,000)	-	-
Net finance costs	(380,794,780)	50,590,534	23,334,081
Contribution to WPPF	(92,806,526)	(7,328,079)	(2,964,583)
Income tax expense	(403,854,982)	(38,242,284)	(24,662,975)
Profit after tax	**1,870,112,482**	**100,991,223**	**20,789,099**
Other comprehensive Income (net of tax)	371,567,955	16,082,272	58,912,650
Total Comprehensive Income	**2,241,680,437**	**117,073,495**	**79,701,749**

Workings 6: Calculation of net Asset for Lily and Tulip at year-end:

Lily:

Particulars	Balance Sheet Date	Acquisition Date	Post Acquisition
Share Capital	102,000,000	102,000,000	-
Retained Earnings	746,619,040	-	3,323,767,682
Reserves	95,107,485	-	2,029,920,148
	943,726,525	**102,000,000**	**841,726,525**

Tulip

Particulars	Balance Sheet Date	Acquisition Date	Post Acquisition
Share Capital	13,600,000	13,600,000	-
Retained Earnings	381,890,567		
Less: PURP	(10,875,000)	358,142,493	58,912,650
Reserve	132,400,650	73,488,000	12,873,074
	517,016,217	**445,230,493**	**71,785,724**

Workings 7: Calculation of gain from Lily Spin-off:

Fair value of Lily at Spin-off	1,250,000,000
Less: Net asset of Lily at the year-end (W-6)	(943,726,525)
Net gain from spin off	**306,273,475**

As Shareholders of Daisy will receive pro-rata shares of Lily, it needs to reduce its investment in Lily and its own equity. According to IFRIC-17, this is a non-cash distribution to shareholders. Therefore, following entry will be required to be made in Daisy's book of account.

Retained Earnings (Daisy)	Dr.	1,250,000,000	
Net Asset of Lily	Cr.		943,726,525
Gain on Spin off (Daisy's P&L)	Cr.		306,273,475

Workings 8: Re-measurement of equity interest in Tulip before acquisition:

As additional 35% shares in Tulip have been bought at BDT 213,710,000, fair value of 100% shares in Tulip would be (213,710,000/35%) = 610,600,000.

Therefore, Fair value of previously held 45% shares is (610,600,000 x 45%) = 274,770,000
Gain on re-measurement of previously held Equity = 274,770,000 - 70,000,000 = 204,770,000
This gain on re-measurement should recognized in Daisy's Profit or Loss Statement.

Adjustment in investments (213,710,000+70,000,000+102,000,000)=385,710,000

Workings 9: Calculation of Goodwill from Tulip in Net Asset method:

Fair value of Previously held 45%	274,770,000
Add: Consideration for additional 35%	213,710,000
Total deemed consideration for 80% shares	488,480,000
Less: Net asset acquired on acquisition (working-6)	(356,184,394) (445,230,493*80%)
Goodwill acquired	**132,295,606**

Workings 10: Non-Controlling Interest (NCI):

NCI = Net Asset of Tulip at Balance Sheet Date x NCI%
= 517,016,217 x 20%
= 103,403,243

Workings 11: Reserves:

Reserve reported in Daisy	2,029,920,148
Add: 80% of Post-acquisition reserve in Tulip (W-6)	10,298,460
Consolidated Reserve	**2,040,218,608**

Workings 12: Retained Earnings:

Reported retained earnings of Daisy	3,323,767,682
Add: Share of retained earnings from Lily (W-6)	841,726,525
Add: Gain from Lily Spin-off	306,273,475
Add: Gain on re-measurement of previously held equity	204,770,000
Less: Reversal for Share for spin-off	(1,250,000,000)
Less: PURP on Machine sold to Tulip	(400,000)
Add: Share of post-acquisition R/E in Tulip (W-6)	47,130,120 (58,912,650*80%)
Consolidated Retained Earnings	**3,473,267,802**

Answer to the Question# 2(a):

i) Impairment and revaluation surplus

Explanation: Under IAS 36 Para 60, impairment of a revalued asset is not immediately put into Profit or Loss. It is treated as a revaluation decrease. The Company must first "use up" any existing surplus previously recorded for that specific asset in the Revaluation Surplus account. Only the "uncovered" portion of the loss becomes an expense for the period.

Total Impairment Loss: Tk. 20.0m – Tk.15.0m = Tk. 5.0m

Allocation: The loss first eliminates the Tk. 3.5m surplus through OCI. The remaining Tk. 1.50 million is charged to P&L.

ii) Government Grant at Nominal Amount:

When an intangible asset is acquired via government grant, an entity can choose to recognize both the asset and the grant at fair value. According to IAS 38 Paragraph 44, when an intangible asset is acquired free of charge or for nominal consideration by way of a government grant, an entity has two choices:

- Option A: Recognize both the intangible asset and the grant initially at fair value.
- Option B: Recognize the asset initially at a nominal amount (plus any expenditure directly attributable to preparing the asset for its intended use).

Since the airline chose the fair value route, the Company must recognize the asset at BDT 10.0 million.

The difference between the fair value (BDT 10.0m) and the cash paid (BDT 0.5m) is BDT 9.5 million. Under IAS 20, this is treated as a Government Grant. As per IAS 20 Paragraph 12, government grants shall be recognized in profit or loss on a systematic basis over the periods in which the entity recognizes as expenses the related costs for which the grants are intended to compensate.

- Since this grant relates to a depreciable/amortizable asset, the BDT 9.5 million is initially recorded as Deferred Income (a liability) and released to the P&L as "Other Income" in proportion to the annual amortization.
- Amortization Expense: BDT 10.0m / 10 years = BDT 1.0 million per year.
- Grant Income Recognition - The deferred income must be "earned" over the same 10-year period. So, the grant income = BDT 9.5m / 10 years = BDT 0.95 million per year.

iii) Onerous Contract (Direct Cost Method):

Under IAS 37, the "cost of fulfilling" a contract includes all costs that relate directly to the contract.

- Direct Costs:

	Tk.
Incremental Costs	1,800,000
Add: Allocated overheads	400,000
Total incremental costs	**2,200,000**

- Cost of Fulfilling (Loss): Tk. 2,200,000 - 2,000,000 = Tk 200,000
- Contract Revenue: Tk 2,000,000.
- Exit Penalty: Tk 500,000.
- The provision amount: Paragraph 68 of IAS 37 provides definition of onerous contract as: *"The onerous contract is one in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received.*"

  Crucially, it specifies that:
  "The unavoidable costs under a contract reflect the ***least net cost of exiting from the contract****, which is the* ***lower of*** *the cost of fulfilling it and any compensation or penalties arising from failure to fulfil it."*

  Therefore, the provision is Tk 200,000, as this is the least cost of exiting the contract in comparison with penalty of Tk. 500,000 for exiting.

iv) Right of Return:

Revenue is only recognized for the units expected to be kept by the buyer.

- Revenue: 4 X Tk. 200,000 = Tk. 800,000
- COGS: 4 X Tk. 120,000 = Tk. 480,000
- The 1 bike that the dealer expects to be returned under the contract, should be still shown as an asset, because this has not yet been sold. IFRS 15 specifically guides on the "Right of Return". It requires to ensure the Balance Sheet accurately reflects the economic reality of the inventory. So, when the dealer sold 5 bikes but expects 1 to come back, he has not actually "lost" the economic benefit of that 5th bike forever. So, if he credited the full Inventory account for all 5 bikes and debited COGS for all 5, he would be claiming that all 5 bikes are gone and their cost is now an expense. Since the dealer expects one to return, that 1 bike's cost, BDT 120,000, is not yet a "cost of sale." It is still an asset—just a different kind of asset.

v) Valuation using Discounted Cash Flows under IAS 41 – Agriculture:

Under IAS 41, biological assets like cows must be measured at Fair Value less Costs to Sell (FVLCTS) at each reporting date. Unlike a building, for example, that may remain in the books at cost for 20 years, a cow is constantly changing—it grows, it gets older, and its market value fluctuates. In traditional accounting, we usually do not recognize a gain until we actually sell the item (the "realization" principle). However, for a dairy firm:

- Physical Change: The cow grows and produces more milk. This is called "accretion."
- Price Change: Market demand for cows in Bangladesh might rise.

If we waited until the cow was sold (perhaps 5–8 years later) to recognize the profit, the financial statements would not accurately reflect the wealth created by the farm during the years the cow was actually growing and maturing. IAS 41 requires that any change in the FVLCTS be recognized in the **period in which it arises**.

- **The Debit:** Increases the carrying amount of the asset on the Statement of Financial Position (Balance Sheet).
- **The Credit:** Represents the "unrealized" income earned during that year, reported in the Statement of Profit or Loss.

Answer to the Question# 2(b):

i) Impairment and revaluation surplus: **(Amount in million)**

Account	Debit Tk.	Credit Tk.
Revaluation Surplus (OCI)	3.5	
Impairment Loss (P&L)	1.5	
Asset/Accumulated Impairment		5.0

ii) Government Grant at Nominal Amount: **(Amount in million)**

Date	Particulars	Debit Tk.	Credit Tk.	Nature of Entry
01-Jul-24	Intangible Asset (Landing Rights)	10		Initial recognition at FV
01-Jul-24	Cash		0.5	Payment of nominal fee
01-Jul-24	Deferred Income (Govt. Grant)		9.5	Recognition of Grant
30-Jun-25	Amortization Expense (P&L)	1.0		Year 1 Amortization
30-Jun-25	Accumulated Amortization		1.0	Contra-asset account
30-Jun-25	Deferred Income (Govt. Grant)	0.95		Release of grant to income
30-Jun-25	Other Income - Grant (P&L)		0.95	Matching principle (IAS 20)

iii) Onerous Contract (Direct Cost Method):

Date	Account Head	Debit Tk.)	Credit (Tk.)	Reference
31-Dec-25	Loss on Onerous Contract (P&L)	200,000		IAS 37 Onerous Provision
31-Dec-25	Provision for Onerous Contract		200,000	Unavoidable cost of fulfilment

iv) Right of Return:

Date	Account Title	Debit (Tk.)	Credit (Tk.)
01-Sep-25	Cash/Receivable	1,000,000	
	Revenue		800,000
	Refund Liability (Return Reserve)		200,000
01-Sep-25	COGS	480,000	
	Asset (Right to Recover Goods)	120,000	
	Inventory		600,000

v) Valuation using Discounted Cash Flows under IAS 41 – Agriculture:

Date	Particulars	Debit (Tk.)	Credit (Tk.)
30 Jun 2025	Biological Asset (Cows)	95,042	
	Gain on Valuation (P&L)		95,042

*(50,000/1.1+60,000/1.1^2)=95,042

Answer to the Question# 3(a):

Adjusted Financials & IFRS Rationale

Draft Unadjusted PBIT: BDT 950.00 million

Draft Unadjusted PBT: BDT 800.00 million

Adjustment 1: Revenue & Right of Return (IFRS 15)

Rationale: IFRS 15 requires an entity to recognize revenue only for goods it expects to retain. A refund liability and an asset for the right to recover returned products must be established for expected returns. Since a 10% return rate is statistically expected, KCP cannot recognize the full BDT 200 million as revenue.

Calculation:

- Reverse Revenue: 10% x BDT 200m = BDT (20.00m)
- Reverse Cost of Sales: 10% x BDT 120m = BDT (12.00m) [Recovery Asset recognized]
- Net impact on PBIT and PBT: BDT (8.00m)

Balance Sheet Impact: Current Assets increase by BDT 12m (right-of-return recovery asset); Current Liabilities increase by BDT 20m (refund liability).

Adjustment 2: Lease Modification (IFRS 16)

Rationale: A decrease in the scope of a lease (50% floor space reduction) constitutes a partial termination under IFRS 16. The lessee must immediately re-measure the lease liability proportionately and reduce the carrying amount of the ROU asset, recognizing any resulting gain or loss directly in profit or loss on the modification date (30 June 2025).

Calculation:

- Reduce Lease Liability by 50%: BDT 100m x 50% = BDT 50m reduction
- Reduce ROU Asset by 50%: BDT 80m x 50% = BDT 40m reduction
- Gain on Modification = BDT 50m - BDT 40m = BDT 10.00m

Impact on PBIT and PBT: +BDT 10.00m. Non-Current Assets decrease by BDT 40m; Long-Term Liabilities decrease by BDT 50m.

Adjustment 3: Subsidized Government Loan (IAS 20 / IFRS 9)

Rationale: Under IFRS 9, financial liabilities must be initially measured at fair value — the present value of future cash flows discounted at the market rate (10%). The difference between the loan proceeds (BDT 500m) and the fair value represents a government grant under IAS 20, which is recognized in income on a systematic basis over the benefit period.

Calculation of Fair Value:

- Annual interest cash flow: BDT 500m x 2% = BDT 10m
- PV of Interest Payments: BDT 10m x 2.486 (annuity factor) = BDT 24.86m
- PV of Principal Repayment: BDT 500m x 0.751 (Yr 3 factor) = BDT 375.50m
- Fair Value of Loan at 1 July 2025 = BDT 24.86m + BDT 375.50m = BDT 400.36m
- Government Grant = BDT 500m - BDT 400.36m = BDT 99.64m

True Finance Cost for Year 1:

- Effective interest: BDT 400.36m x 10% = BDT 40.04m
- CFO recorded only: BDT 10.00m (cash paid)
- Additional finance cost required: BDT (30.04m)

Grant Amortization (straight-line over 3 years):

- BDT 99.64m / 3 = BDT 33.21m recognized in Other Income

Net Impact on PBT: +BDT 33.21m (grant income) - BDT 30.04m (extra finance cost) = +BDT 3.17m

Note: The grant income of BDT 33.21m improves PBIT; the extra finance cost (BDT 30.04m) is below operating profit, so net PBIT impact = +BDT 33.21m. Liabilities decrease by BDT 3.17m (net effect of carrying value re-measurement year 1).

Adjustment 4: Share-Based Payments Cancellation (IFRS 2)

Rationale: Under IFRS 2, cancellation of an equity-settled share-based arrangement is treated as accelerated vesting. The entire remaining unrecognized fair value of unvested options (BDT 45 million) must be expensed immediately in profit or loss at the cancellation date. The CFO's treatment — recording nothing on the grounds of forfeiture — is incorrect. A forfeiture only applies where employees fail to meet vesting conditions; a management-initiated cancellation triggers accelerated recognition.

Impact: Net decrease in PBIT and PBT = BDT (45.00m). Equity is unaffected in net terms (the charge increases retained earnings deficit but increases the share-based payment reserve by the same amount).

Adjustment 5: Suspension of Capitalization (IAS 23)

Rationale: IAS 23 mandates that capitalization of borrowing costs must be suspended during extended periods in which active development of a qualifying asset is interrupted. A 4-month complete shutdown due to nationwide labor unrest and curfews constitutes such an extended interruption. The interest incurred during August to November 2024 must be expensed, not capitalized.

Calculation:

- Suspended interest: BDT 200m x 12% x (4/12) = BDT 8.00m
- This BDT 8m must be expensed as finance cost, not added to PPE.

Impact: Net decrease in PBT = BDT (8.00m). PBIT is unaffected (finance cost is below operating profit line). Non-Current Assets (PPE) decrease by BDT 8m.

Summary of Adjustments

Adjustment	**PBIT Impact (BDT m)**	**PBT Impact (BDT m)**	**Asset Impact (BDT m)**	**Liability Impact (BDT m)**
1. IFRS 15 — Right of Return	(8.00)	(8.00)	+12.00	+20.00
2. IFRS 16 — Lease Modification	+10.00	+10.00	(40.00)	(50.00)
3. IAS 20/IFRS 9 — Gov. Loan	+33.21	+3.17	Nil	(3.17)
4. IFRS 2 — SBP Cancellation	(45.00)	(45.00)	Nil	Nil
5. IAS 23 — Suspended Capn.	Nil	(8.00)	(8.00)	Nil
Net Change from Adjustments	**(9.79)**	**(47.83)**	**(36.00)**	**(33.17)**

Adjusted Statement of Profit or Loss for the Year Ended 30 June 2025

	BDT m
Revenue (5,000 - 20)	4,980.00
Cost of Sales (3,000 - 12)	(2,988.00)
Gross Profit	**1,992.00**
Operating Expenses (1,050 + 45 SBP)	(1,095.00)
Government Grant Income (IAS 20)	33.21
Gain on Lease Modification (IFRS 16)	10.00
Adjusted Operating Profit (PBIT)	**940.21**

Finance Costs (150 + 30.04 extra + 8 suspended capn.)	(188.04)
Adjusted Profit Before Tax (PBT)	**752.17**
Tax Expense (752.17 x 20%)	(150.43)
Adjusted Net Profit	**601.74**

Adjusted Balance Sheet as at 30 June 2025

	BDT million
Draft Total Assets	6,000.00
+ Recovery Asset (IFRS 15)	+12.00
- ROU Asset derecognized (IFRS 16)	(40.00)
- Suspended borrowing costs removed from PPE (IAS 23)	(8.00)
Adjusted Total Assets	**5,964.00**
Draft Total Liabilities	2,500.00
+ Refund Liability (IFRS 15)	+20.00
- Lease Liability derecognized (IFRS 16)	(50.00)
- Loan remeasurement to fair value net of grant (IAS 20/IFRS 9)	(3.17)
Adjusted Total Liabilities	**2,466.83**
Adjusted Equity (Balancing figure: 5,964 - 2,466.83)	**3,497.17**
Adjusted Current Liabilities (1,000 + 20 + 33.21 grant current)	1,053.21
Adjusted Capital Employed (5,964 - 1,053.21)	**4,910.79**

Answer to the Question# 3(b):

Financial Statement Analysis, Earnings Manipulation & Recommendations

Financial Ratio Summary

Ratio	Draft (Unadjusted)	Adjusted (Economic Reality)	Target
LIQUIDITY			
Current Ratio (CA / CL)	2,500 / 1,000 = 2.50x	2,512 / 1,053.21 = 2.38x	—
Quick Ratio ((CA - Inv) / CL)	1,500 / 1,000 = 1.50x	1,500 / 1,053.21 = 1.42x	—
SOLVENCY			
Debt-to-Equity	1,700 / 3,500 = 48.57%	1,550.36 / 3,461.74 = 44.79%	—
PRODUCTIVITY			
Inventory Days	(1,000/3,000)x365 = 121.67	(1,012/2,988)x365 = 123.63	—
Receivable Days	(1,200/5,000)x365 = 87.60	(1,200/4,980)x365 = 87.95	—
Payable Days	(800/3,000)x365 = 97.33	(800/2,988)x365 = 97.72	—
Cash Conversion Cycle	121.67 + 87.60 - 97.33 = 111.94 days	123.63 + 87.95 - 97.72 = 113.86 days	—

PROFITABILITY			
Gross Profit Margin	2,000/5,000 = 40.00%	1,992/4,980 = 40.00%	—
Operating Profit Margin	950/5,000 = 19.00%	940.21/4,980 = 18.88%	**18.00%**
ROCE (PBIT / Capital Employed)	950/5,000 = 19.00%	940.21/4,910.79 = 19.15%	**20.00%**

1. Liquidity Analysis

The unadjusted Current Ratio of 2.50x portrays a highly liquid firm capable of meeting short-term obligations with comfortable headroom. However, adjusting for the IFRS 15 refund liability (+BDT 20m) and the current portion of the IAS 20 deferred grant reveals a tighter reality. The adjusted Current Ratio falls to 2.38x and the Quick Ratio compresses from 1.50x to 1.42x.

While KCP remains technically liquid in the short term, the firm has materially fewer true liquid assets than the CFO's unadjusted figures suggested. Furthermore, the elevated inventory balance — nearly BDT 1,000 million — is a structural liquidity drag; the Quick Ratio better reflects this by stripping it out. The tight gap between current and quick ratios warrants Board scrutiny of inventory conversion performance.

2. Productivity (Working Capital Efficiency) Analysis

KCP's operational efficiency is deeply concerning. Inventory Days of ~124 days means the company holds stock for over four months before converting it to a sale — exceptionally sluggish for a retail chain, where industry norms are typically 30–60 days. Receivable Days of ~88 days indicates that, despite being a retailer (where cash sales should dominate), KCP extends credit terms that tie up significant capital for nearly three months.

The resulting Cash Conversion Cycle (CCC) of approximately 114 days (adjusted) is alarmingly long. This means KCP takes nearly four months to convert its inventory investment back into cash, even after netting the benefit of trade credit from suppliers (~98 days payable). This persistent working capital trap creates structural pressure on liquidity that is masked by the current ratio's relatively comfortable headline figure. Management must urgently investigate the root causes of slow inventory turnover — whether overstocking, weak demand forecasting, or poor SKU rationalization.

3. Solvency Analysis

The unadjusted Debt-to-Equity ratio of 48.57% suggests moderate leverage. Counterintuitively, the CFO's deliberate omission of the IAS 20 government grant recognition actually made the solvency position appear worse than it truly is. By recording the BDT 500m government loan at full face value (rather than its fair value of BDT 400.36m), the CFO overstated liabilities by the BDT 99.64m grant component. The adjusted D/E of 44.79% reflects a genuinely stronger balance sheet.

While this particular manipulation did not serve to inflate the CEO's bonus (it worsened apparent solvency), it does suggest that the CFO's motivations were complex and multi-directional — potentially deferring grant income to future periods for other strategic purposes. The Board should treat any accounting choice that departs from IFRS with heightened skepticism, regardless of its apparent directional effect.

4. Profitability Analysis & CFO Manipulation Identification

Profitability was the CFO's primary manipulation target, given that both CEO bonus triggers — Operating Profit Margin (18%) and ROCE (20%) — are profitability-based ratios.

a) Operating Profit Margin — The CFO inflated PBIT through two principal mechanisms: (i) failing to expense the BDT 45m IFRS 2 accelerated vesting charge from the share option cancellation, and (ii) inflating revenue by BDT 20m by ignoring the IFRS 15 right-of-return obligation. These two manipulations alone contributed an artificial BDT 25m+ to reported operating profit. After adjustments, the Operating Profit Margin falls to 18.88% — above the 18% threshold, but the direction of intent is clear. The reported 19.00% comfortably exceeded the target only because of these distortions.

b) ROCE — Despite the CFO's best efforts, the adjusted ROCE of 19.15% still fails to reach the 20% bonus threshold — and indeed the unadjusted ROCE of 19.00% also fails. This reveals an important nuance: the CFO attempted to engineer compliance but fell short of the ROCE target even with manipulated numbers. By ignoring the IFRS 16 lease modification, the CFO kept BDT 40m of ROU assets on the balance sheet that should have been removed, which slightly suppressed Capital Employed and thus boosted apparent ROCE. The IAS 23 suspension error artificially inflated PPE (Capital Employed), partially working against the ROCE target — an inconsistency consistent with a finance function that was not managing all levers coherently.

c) Gross Profit Margin — The GPM remains constant at 40.00% both before and after adjustments, indicating that the underlying trading margins are not being manipulated at the gross level. The manipulation is concentrated in the operating expense and below-the-line areas, confirming that the CFO targeted specific ratios rather than engaging in broad-based revenue inflation.

Concluding Summary & Recommendations to the Board of Directors

Despite deep and deliberate manipulation of the financial statements, neither the adjusted nor the unadjusted ROCE meets the 20% bonus threshold. The Operating Profit Margin, while above 18% even after adjustments (18.88%), was artificially elevated by the CFO's non-compliant accounting treatments. The cumulative effect of all five IFRS violations was to overstate PBT by BDT 47.83 million and to misrepresent assets, liabilities, and the firm's true liquidity and operational efficiency.

Recommendations:

i) **Withhold the CEO Bonus:**
ii) The Board must commission an independent forensic audit of the entire finance function.
iii) The Board should redesign executive KPIs to incorporate cash-flow-based measures — such as Free Cash Flow generation, Cash Conversion Cycle targets (CCC), and operating cash flow conversion ratios — alongside traditional P&L metrics.
iv) **Address Operational Weaknesses.** Management should implement inventory rationalization programs, tighten credit control policies, and set measurable CCC reduction targets as part of the next annual operating plan.
v) **Strengthen Audit Committee Oversight:**
In conclusion, KCP presents a cautionary case of how bonus-linked performance metrics, when inadequately governed, can incentivize systematic financial statement manipulation. The Board's response must be decisive, transparent, and structural — both to restore the integrity of financial reporting and to protect shareholder value.

Answer to the Question# 4(a):

Audit, professionalism, and accounting:

<u>Case I: Transaction Deletion and Software Integrity</u>

Issues: Accounts officer deleted a receivable entry without leaving an audit trail, and the finance manager dismissed the lack of a deletion log as inconsequential.

- **Audit Approach Deviation:** The team failed to evaluate the Information Technology General Controls. A system that allows permanent deletion of transactions without an audit trail lacks integrity and represents a significant control deficiency. Audit Team's reliance on the information provided from the system should be very low.
- **Professional Stance:** The finance manager's reluctance that the system does not maintain audit trails suggests a potential lack of transparency or an attempt to conceal irregularities. The audit Team should have been alert that there could be more such instances as the reliance on the internal control system should be re-assessed.
- **Accounting Issues:** Deleting entries rather than passing reversal entries violates the fundamental accounting principle of maintaining a complete and reliable record of all financial events.
- **Reasonable Approach:** The Audit Team should:
    - Perform a "walkthrough" of the software to confirm the lack of an audit trail.
    - Assess the risk of fraud or material misstatement as "High" due to the ability to manipulate data without detection.
    - Report this as a Significant Internal Control Deficiency to those charged with governance (TCWG).

Case II : Inconsistent Trial Balance Versions

- **Audit Approach Deviation:** The team accepted the email version as "authentic" without verification. They failed to apply Professional Skepticism. They relied on a spreadsheet provided by the client (which is easily manipulated) rather than verifying it against the source system.
- **Professional Stance:** The audit team showed a lack of professional competence and due care by assuming an emailed spreadsheet is inherently authentic.
- **Accounting Issues:** The differences in line items suggest that the financial statements prepared from the first Trial Balance may be materially misstated or that unauthorized adjustments were made.
- **Reasonable Approach:** The Audit Team should:
    - Perform a full reconciliation between the two versions of the Trial Balance.
    - Inquire with the accounts manager regarding the specific reasons for each discrepancy.
    - Extend testing to source documents for the line items that showed "significant differences".

Case III : Incorrect Tax Rates and Reliance on AI

- **Audit Approach Deviation:** The company used a 7.5% tax rate instead of the 10% rate required by a new SRO. The auditor relied solely on an AI tool that provided outdated information. Inappropriate reliance on a third-party tool (AI) without verifying its data source. The auditor failed to check the actual statutory documents (the SRO).
- **Professional Stance:** This is a violation of Professional Competence and Due Care. An auditor cannot delegate professional judgment to an AI. An auditor must remain updated on local laws (like the Income Tax Act/SROs).
- **Accounting Issues:** Under-deduction of tax at source leads to non-compliance with tax laws, potentially resulting in penalties and the disallowance of expenses under the Income Tax Act 2023.
- **Reasonable Approach:** The audit Team should:
    - Re-train the audit team on the necessity of using primary legal sources over AI-generated answers.
    - Calculate the total tax shortfall based on the 10% rate required by the SRO.
    - Request the client to adjust the liability and consider the impact on the "Audit Findings Report" regarding statutory compliance.

Case IV : Capitalization of Website Costs

Issues: The company capitalized Tk. 500,000 for a website used strictly for promotion and advertising.

- **Audit Approach Deviation:** The team member incorrectly accepted the capitalization of the expenses incurred. They did not refer to the correct references in IAS 38 and SIC 32 – the purpose of the website does not demonstrate any capacity generate revenues.
- **Professional Stance:** The team member lacks the technical accounting knowledge to challenge the client's incorrect application of IFRS/IAS.
- **Accounting Issues (IAS 38 & SIC 32):**
    - **Planning Stage (Tk. 100,000):** Must be expensed as incurred.
    - **Promotional Content:** Under SIC 32, if a website is developed solely or primarily for promoting and advertising a company's own products and services, all expenditure must be recognized as an expense.
- **Reasonable Approach:** The Audit Manger should
    - Train his audit team on the correct accounting of it, and that it is an ethical requirement for an auditor to possess and update his/her technical accounting knowledge
    - Advise the client that the entire Tk. 500,000 must be expensed because the website is for advertising.
    - Propose an audit adjustment to decrease Intangible Assets and increase "Administrative/Selling Expenses."

Answer to the Question# 4(b):

Report to the Partner

The Engagement Partner
Salahuddin Tarafder & Co,
Chartered Accountants

Dear Sir,

Internal development requirements for audit through the use of AI

Reference is made to the discussion we had on the audit of Modhumoti Manufacturing Ltd. We used AI applications to facilitate our audit works. Based on this discussion, you required a report on the issues we faced. I append below the responses you required :

i. Analysis of each case:

A. Inventory Valuation (Accounting)

- Breach: Failure to exercise Professional Skepticism.
- Ethical/Professional Issue: The team failed to perform "Observation of Physical Inventory Counting". AI cannot "see" physical damage from a fire. By accepting the AI output blindly, the team failed to obtain sufficient and appropriate audit evidence.
- Result: Inventory is likely materially overstated, leading to an inappropriate audit opinion.

B. Taxation

- Breach: Lack of Professional Competence and failure to remain updated with local laws (Income Tax Act 2023).
- Ethical/Professional Issue: Under the ICAB Code, a member must perform work with "due care." Relying on a General AI for legal interpretation without verifying the specific SROs or tax laws of Bangladesh is a gross negligence of duty.
- Result: The financial statements contain a material misstatement regarding tax provisions and liabilities.

C. Internal Control Assessment (Controls)

- Breach: Failure to evaluate the design and implementation of controls.
- Ethical/Professional Issue: The team mistook "Data Processing" for "Audit Judgment." The AI verified the *existence* of a signature but not the *validity* or *segregation of duties*. The team failed to identify a significant deficiency in internal control.
- Result: The audit strategy was flawed; by reducing substantive testing based on a misunderstood control environment, the audit risk increased significantly.

D. Revenue Recognition

- Breach: Violation of Integrity and Professional Behaviour by taking "short-cuts."
- Ethical/Professional Issue: The team bypassed fundamental audit procedures (ISA 505 Confirmations) because the AI gave a "clean" report. IFRS 15 requires complex judgment regarding "control" in Bill-and-Hold arrangements, which the AI failed to assess.
- Result: Revenue is likely recognized prematurely. The team has failed to discharge their responsibility to the shareholders by not verifying the substance of the transactions over the form of the data matching.

E. Revenue Recognition

I. Breach: Violation of applying due professional care. The Team had deficiency in technical competency/skill.
II. Ethical/Professional Issue: The team suffered from automation bias, as they concluded on AI's output without due professional care. Under IFRS 15, SSP should reflect the price at which an entity would sell a promised good or service separately to a customer in the *relevant market*. Using global averages ignores the "Market Assessment Approach" required for the Bangladesh context. By not checking this properly, they failed to apply due professional care to prove that they have technical skill to understand this fundamental step in finding out SSP.
III. Result: Revenue is likely over-recognized at the point of sale.

ii. Reasons for such breaches with suggestions for improvements in audit procedures of the Firm:

Reason:

In all the cases, the audit team violated the fundamental principle of Professional Competence and Due Care.

The audit Team clearly had over-reliance due to "Automation Bias". This means over-reliance on technology without human intervention. It is a human tendency to accept, sometimes without examining, the suggestions from automated systems, even when they contradict human logic or common sense. This can dilute the judgement of human auditor. In the given context, the audit Team relied on the outcomes of the AI tools without being professionally prudent to apply Due Professional Care and Professional Competence. This has led to a failure for the audit team in exercising Professional Skepticism. This negatively influenced their professional judgement.

Suggestion:

An auditor must not outsource his/her Judgment from any tool or anyone else. The predictions by an AI tool cannot be a 'shield' for auditor's judgement and should not be allowed to override the use of Professional Skepticism. Below suggestions are likely to improve the situation at the Firm:

(a) Firm wide extensive training is essential on this extremely important approach to current day audit. The AI identifies only data patterns, but only a human auditor can evaluate the *significance* of those patterns in the context of the specific client's business environment. This requires application of Professional Judgement driven by Professional Sketicism, only training can help to achieve this.

(b) To enforce this further, the work programs must include this section that audit team members cannot override or conclude on any audit risk areas without performing proper audit procedures, no matter what the AI tool suggests.

(c) Additional training/briefing must be given to audit team members before starting the audit.

(d) Partners and Managers/Directors should make interim reviews that the above are fully complied with.

Answer to the Question# 5(a)(i):

Identification and assessment of Risks of material misstatement

1. First-year audit risk and lack of prior knowledge

This is the first year the firm is auditing Shapla. Therefore, the engagement team has no prior audit knowledge of the company's systems, internal controls, accounting policies, management integrity or historical financial reporting practices.

Evaluation of risk

This risk is significant because opening balances may contain misstatements that affect the current year's financial statements. There is also a risk that inappropriate accounting policies or prior-period errors have been carried forward into the current year. The risk is increased because several issues identified during the audit including incorrect equity classification, undocumented related party charges and weak procurement controls. These events suggest that Shapla may have weaknesses in governance and financial reporting discipline.

Impacted Accounts:

Opening balances, comparatives, retained earnings

2. Incorrect presentation of revaluation gain

Shapla recognised a significant revaluation gain on land in other comprehensive income. However, in the statement of changes in equity, the gain was included within retained earnings instead of being shown separately as a revaluation surplus.

Evaluation of risk

This is a material financial reporting risk. Under the revaluation model, a revaluation increase is generally credited to a revaluation surplus within equity, unless it reverses a previous revaluation decrease recognised in profit or loss accounts. It should not increase retained earnings. The error directly affects equity classification. More importantly, cash and stock dividends were declared based on the retained earnings reported in the financial statements. If retained earnings were inflated by the revaluation gain, dividends may have been declared out of amounts that are not distributable.

Impacted Accounts:
Retained earnings, revaluation surplus, dividends, paid up capital

3. Inventory completeness and purchase cut-off risk

A large quantity of raw materials was physically present in the warehouse during the surprise stock count but was not included in the inventory list. Management stated that the goods came from a new vendor, no formal agreement had been signed and invoicing would take place after year-end.

Evaluation of risk

This indicates a high risk of understatement of both inventory and liabilities. If the raw materials were received before year-end and Shapla had control over them, they should generally be recorded as inventory. A corresponding liability or accrual should also be recognized, even if the invoice has not yet been received. This may indicate either a cut-off error or a deliberate attempt to defer recording liabilities until after year-end.

Impacted Accounts:
Inventory, purchases, payables/accruals

4. Fraud risk and weak procurement governance

The new vendor supplied raw materials based on an informal arrangement. The head of procurement is a very close friend of the vendor's owner, and no formal agreement was signed before supply.

Evaluation of risk

This creates significant fraud and governance risk. The relationship between the procurement head and the vendor owner may create a conflict of interest. The absence of a formal agreement also increases the risk of unauthorized purchasing, inflated pricing, kickbacks, poor-quality materials or undisclosed related party transactions. The risk is not limited to the completeness of inventory and payables. It also affects whether procurement transactions are valid, properly authorized and commercially reasonable.

Impacted Accounts:
Purchases, inventory valuation, payables, disclosures

5. Related party transaction risk — parent company fees

Shapla pays management and technology fees to its parent company for technical support, manufacturing know-how and management support. However, no formal agreement or written documentation exists to support these charges.

Evaluation of risk

This creates a significantly related party risk. Transactions with the parent company may not be conducted on normal commercial terms, and without written agreements it is difficult to determine whether the fees are valid, complete, accurate and appropriately authorized.

There is also a risk that the fees may be used to transfer profits from Shapla to the parent company. This may have implications for tax and transfer pricing. The absence of documentation also increases the risk of insufficient disclosure under related party disclosure requirements.

Impacted Accounts:
Expenses, payables, tax, IAS 24 disclosures.

6. Sustainability reporting risk

The Board has approved voluntary adoption of IFRS S1 and IFRS S2 as required by the parent company. However, management is uncertain about what sustainability-related disclosures should be included in the financial statements.

Evaluation of risk

This creates a risk that sustainability-related disclosures may be incomplete, inaccurate or inconsistent with the financial statements. As Shapla is an automotive parts manufacturer, sustainability matters may be relevant to users of the financial statements.

There is also a risk that management may provide generic disclosures without proper entity-specific analysis. If disclosures are not supported by reliable data and governance processes, they may be misleading.

Impacted Accounts:
Sustainability disclosures and related financial statement estimates

Answer to the Question# 5(a)(ii):

Design appropriate audit procedures to address each identified risk

1. First-year audit risk and opening balances

Audit procedures to be performed:

- Obtain and review the prior year financial statements, management accounts and trial balance.
- Review the accounting policies adopted by Shapla comply with IFRS and applied consistently.
- Perform procedures under ISA 510 on opening balances.
- Obtain sufficient appropriate audit evidence that opening balances do not contain material misstatements affecting the current year financial statements.
- Review whether prior year closing balances have been correctly brought forward.
- Communicate with the predecessor auditor after management's permission.
- Review the predecessor auditor's working papers, if access is granted.
- Perform additional substantive testing on significant opening balances including property, plant and equipment; inventory; trade payables; retained earnings; and related party balances.
- Perform walkthroughs of key business cycles, including purchases, inventory, production, payroll, revenue and financial reporting.
- Document understanding of the entity, its environment, internal controls and governance structure.

2. Incorrect presentation of revaluation gain

Audit procedures to be performed:

- Obtain the land revaluation report and assess the competence, capability and objectivity of the external valuer.
- Evaluate the valuation methodology, key assumptions and market evidence used by the valuer.
- Check whether the revaluation gain has been correctly recognised in other comprehensive income.
- Verify the journal entries passed for the revaluation gain.
- Confirm that the gain has been credited to a separate revaluation surplus within equity and not to retained earnings.
- Reconcile the statement of changes in equity with the general ledger and trial balance.
- Request management to correct the classification error by transferring the amount from retained earnings to revaluation surplus.
- Review minutes of the AGM and Board meetings approving cash and stock dividends.
- Recalculate distributable retained earnings after excluding the revaluation gain.
- Assess whether dividends were declared from legally distributable profits.
- Discuss the matter with management and those charged with governance.

3. Inventory completeness and purchase cut-off risk

Audit procedures to be performed:

- Obtain the list of raw materials physically identified during the surprise stock count but excluded from the inventory records.
- Match those items with goods received notes; delivery challans; warehouse receipt records; transport documents; and quality inspection reports.
- Confirm the date on which the raw materials were received at Shapla's warehouse.
- Determine whether Shapla had control over the materials before year-end.
- Inspect any correspondence, emails, purchase requests or informal commercial terms agreed with the vendor.
- Obtain subsequent invoices issued after year-end.
- Trace subsequent invoices to the raw materials received before year-end.
- Review subsequent payments made to the vendor.
- Send direct confirmation to the vendor.
- Recalculate the value of inventory that should have been recorded at year-end.
- Propose an adjustment to recognise inventory and the corresponding payable or accrual.
- Perform purchase cut-off testing around year-end by selecting samples of goods received before and after year-end and checking whether they were recorded in the correct accounting period.
- Extend testing to other vendors to determine whether the issue is isolated or systemic.

4. Fraud risk and weak procurement governance

Audit procedures to be performed:

- Obtain Shapla's procurement policy and assess whether required procedures were followed for appointment of the new vendor.
- Check whether vendor onboarding procedures were completed, including vendor approval; background checks; tax and registration documents; bank account verification; conflict-of-interest declarations.
- Inspect whether competitive quotations or tendering procedures were performed.
- Review approval of purchase requests, goods receipts and payment authorizations.
- Inquire whether the relationship was disclosed to management, the Board or the audit committee.
- Obtain written representations from management regarding conflicts of interest and related party relationships.
- Review journal entries and manual adjustments relating to purchases, inventory and vendor payables near year-end.
- Perform data analytics, where possible, to identify unusual procurement patterns, such as purchases just below approval thresholds; repeated purchases from the same new vendor; unusual pricing; transactions processed outside normal approval routes.
- If fraud is suspected, expand audit procedures and consider the effect on the audit opinion.

5. Related party transaction risk — parent company management and technology fees

Audit procedures to be performed:

- Obtain a schedule of all management fees, technology fees and other charges paid or payable to the parent company.
- Reconcile the schedule with the general ledger, bank payments and intercompany balances.
- Obtain the Group's internal policy used to determine the fees.
- Request any available supporting documents, including: Board approvals; group recharge policy; transfer pricing documentation; management correspondence; service descriptions; cost allocation workings.
- Evaluate whether Shapla actually received services from the parent company by inspecting evidence such as technical support reports; production know-how documentation; training records; management support deliverables.
- Assess whether the basis of charge is reasonable and consistently applied.
- Compare the fee basis with prior years and with similar group companies, if available.
- Confirm outstanding balances and transactions directly with the parent company.
- Assess whether expenses are recorded in the correct period.
- Review tax and transfer pricing implications, including withholding tax, VAT and corporate tax deductibility.
- Involve tax specialists if required.

6. Sustainability reporting risk

Audit procedures to be performed:

- Obtain Board minutes approving voluntary adoption of IFRS S1 and IFRS S2.
- Understand management's process for identifying sustainability-related risks and opportunities.
- Review whether management has identified sustainability matters relevant to Shapla's business model and value chain.
- Review whether disclosed sustainability metrics are supported by reliable records.
- Test selected metrics to underlying data, such as electricity bills, fuel usage records, production data, waste disposal records and supplier information.
- Assess whether sustainability disclosures are balanced and not misleading.
- Compare sustainability disclosures with information in: Board minutes; capital expenditure plans; risk registers; parent company sustainability reporting instructions.
- Review whether assumptions used in sustainability disclosures are consistent with assumptions used in the financial statements.

Answer to the Question# 5(a)(iii):

Key sustainability-related disclosure matters under IFRS S1 and IFRS S2

There are four pillars of sustainability disclosure:

1. Governance

Shapla should disclose how its Board and management oversee sustainability-related and climate-related risks and opportunities.

This may include:

- Board responsibility for sustainability reporting.
- Management's role in monitoring environmental and climate matters.
- How sustainability risks are considered in strategic decisions.
- Internal reporting processes to the Board.

2. Strategy

Shapla should disclose sustainability and climate-related risks and opportunities that could affect its business model, cash flows, access to finance or cost of capital.

For an automotive parts manufacturer, relevant matters may include:

- Energy consumption in manufacturing.
- GHG Emissions from production.
- Exposure to climate-related disruptions in the supply chain.
- Parent company sustainability targets.
- Regulatory pressure on the automotive sector.

3. Risk management

Shapla should disclose how it identifies, assesses, prioritises and manages sustainability-related risks.

Examples include:

- Processes for identifying climate-related operational risks.
- Supplier assessment and responsible sourcing.
- Waste management and pollution control.
- Health and safety risks in manufacturing.
- Business continuity planning for floods, heat stress or supply chain disruption.
- Integration of sustainability risks into enterprise risk management.

4. Metrics and targets

Under IFRS S1 and IFRS S2, Shapla should disclose relevant metrics and targets used to monitor sustainability and climate-related performance.

Possible disclosures include:

- Greenhouse gas emissions, including Scope 1 and Scope 2 emissions, and where relevant Scope 3.
- Energy consumption.
- Water usage.
- Waste generated and recycled.
- GHG Emission reduction targets.
- Capital expenditure related to energy efficiency or cleaner production.
- Climate-related risks affecting asset values, useful lives or impairment assessments.

Answer to the Question# 5(b):

Required Actions, Safeguards, and Conclusion (ICAB Code):
The convergence of these two severe threats creates a scenario where standard safeguards (such as erecting "Chinese Walls" or deploying separate engagement teams) are entirely useless. Providing aggressive tax planning services that materialize into tax evasion for a statutory audit client violates the fundamental principles of Integrity, Objectivity, and Professional Behavior under the ICAB Code.

The engagement partner must execute the following immediate actions:

1. **Internal Escalation & Legal Counsel:** Immediately escalate the intimidation and the internal conflict of interest to the firm's Managing Partner, the Ethics Partner, and external legal counsel.
2. **Communication with TCWG:** Formally communicate the CFO's threats and the discovery of the tax evasion scheme to Those Charged with Governance (the Audit Committee and the Board of Apex).
3. **Resignation:** Given the aggressive management intimidation (indicating a profound lack of management integrity) combined with the insurmountable self-review threat regarding an illegal tax scheme, the audit firm's objectivity is irreparably compromised. **Resignation from the statutory audit engagement is the only viable professional option.**
4. **Regulatory Reporting:** Following resignation, the firm must assess its statutory and ethical duty to breach client confidentiality in the public interest. The firm must report the circumstances of the resignation, the management intimidation, and the suspected multi-million Taka tax evasion scheme to the relevant regulatory authorities, specifically the National Board of Revenue (NBR), the Financial Reporting Council (FRC), and the BSEC.

---The End---